RAG Learning

Theme 2.1 National Economic Performance — Edexcel B

1. Measuring National Income — GDP

Gross Domestic Product (GDP): The total monetary value of all final goods and services produced within a country's borders in a given time period (usually a year or quarter). It is the most widely used measure of economic output and national income.

1.1 Three Methods of Measuring GDP

All three approaches should give the same figure (the national income identity):

Method	What It Measures	Calculation
Output (Production)	Value added by each sector of the economy	Sum of value added in agriculture + manufacturing + services + ...
Income	Total incomes earned by factors of production	Wages + rent + interest + profits
Expenditure	Total spending on final goods and services	C + I + G + (X - M)

$$\text{GDP (Expenditure)} = C + I + G + (X - M)$$

Where: C = consumer spending, I = investment, G = government spending, X = exports, M = imports.

1.2 Real vs Nominal GDP

- **Nominal (money) GDP:** Measured at current prices. Changes in nominal GDP may reflect price changes (inflation) rather than real changes in output.
- **Real GDP:** Adjusted for inflation (measured at constant/base-year prices). Shows the actual change in the volume of output. This is the more meaningful measure.

$$\text{Real GDP} = \text{Nominal GDP adjusted for inflation using a GDP deflator}$$

1.3 GDP per Capita

$$\text{GDP per capita} = \text{GDP} \div \text{Population}$$

A better indicator of average living standards than total GDP because it accounts for population size. A country with high GDP but a very large population may have low GDP per capita (e.g., India).

1.4 Limitations of GDP as a Measure of Living Standards

- **Distribution of income:** GDP per capita is an average — it masks inequality. A country could have high GDP per capita but most wealth concentrated among a few.
- **The informal/shadow economy:** GDP does not capture unrecorded economic activity (cash-in-hand work, illegal trade, subsistence farming). This is larger in developing countries.
- **Non-marketed output:** Unpaid work such as housework, childcare, and voluntary work is excluded.
- **Quality of life factors:** GDP ignores leisure time, environmental quality, health, education quality, personal freedom, and happiness.
- **Negative externalities:** GDP counts all output, including production that causes pollution and environmental destruction. "Bads" like oil spill clean-ups increase GDP.
- **Composition of output:** GDP does not distinguish between spending on weapons and spending on hospitals.
- **Purchasing Power Parity (PPP):** When comparing GDP across countries, exchange rate differences can distort comparisons. PPP-adjusted figures give a more accurate picture of relative living standards.

1.5 Alternative Measures of Living Standards

Measure	What It Includes	Advantage over GDP
HDI (Human Development Index)	Life expectancy, education (mean/expected years of schooling), GNI per capita (PPP)	Broader measure of development, not just income
GNI (Gross National Income)	GDP + net income from abroad	Captures income earned by nationals overseas
Green GDP	GDP adjusted for environmental degradation	Accounts for sustainability
Genuine Progress Indicator	GDP adjusted for inequality, environmental costs, non-market activity	More holistic welfare measure

Case Study: China's GDP Growth and Living Standards

China's GDP grew at an average of around 10% per year from 1980 to 2015, lifting hundreds of millions out of poverty. However, GDP growth overstated improvements in living standards for several reasons: severe air pollution in cities like Beijing imposed enormous health costs not captured by GDP; the Gini coefficient rose from 0.30 in 1980 to over 0.47 by 2012 (highly unequal); and much growth came from environmentally destructive heavy industry. China's HDI (0.768 in 2022) ranks significantly lower than its GDP ranking would suggest, illustrating GDP's limitations.

2. Inflation

Inflation: A sustained increase in the general price level over a period of time — meaning money loses purchasing power. It is measured as the annual percentage change in a price index.

Deflation: A sustained decrease in the general price level (negative inflation rate).

Disinflation: A fall in the rate of inflation (prices still rising, but more slowly).

© RAG Learning · Not for redistribution

2.1 Measuring Inflation — CPI and RPI

Feature	CPI (Consumer Price Index)	RPI (Retail Price Index)
Used by	Government's target measure; used by the Bank of England	Index-linked gilts, some pensions, rail fare increases
Includes housing costs?	Partially (CPIH includes owner-occupier housing costs)	Yes — includes mortgage interest payments
Coverage	Broader population	Excludes top 4% earners and pensioners relying on state benefits
Typical value	Usually lower than RPI	Usually higher than CPI

Both use a weighted basket of around 700 goods and services, updated annually to reflect changing spending patterns. The Living Costs and Food Survey samples around 5,000 households to determine weights. Items are added (e.g., oat milk, smartwatches) and removed (e.g., DVD players) each year to keep the basket representative.

2.2 Causes of Inflation

Demand-Pull Inflation

Caused by aggregate demand (AD) increasing faster than aggregate supply (AS) — "too much money chasing too few goods." When the economy is near or at full capacity, increased spending leads to price rises rather than output increases.

Causes of rising AD: Consumer confidence, lower interest rates, tax cuts, rising asset prices (wealth effect), increased government spending, weaker exchange rate (boosting exports).

Cost-Push Inflation

Caused by increases in the costs of production — firms pass on higher costs as higher prices. This shifts the SRAS curve to the left.

Causes: Rising oil/energy prices, higher wages (above productivity growth), weaker exchange rate (making imports more expensive), higher commodity prices, increased indirect taxes, supply chain

disruptions.

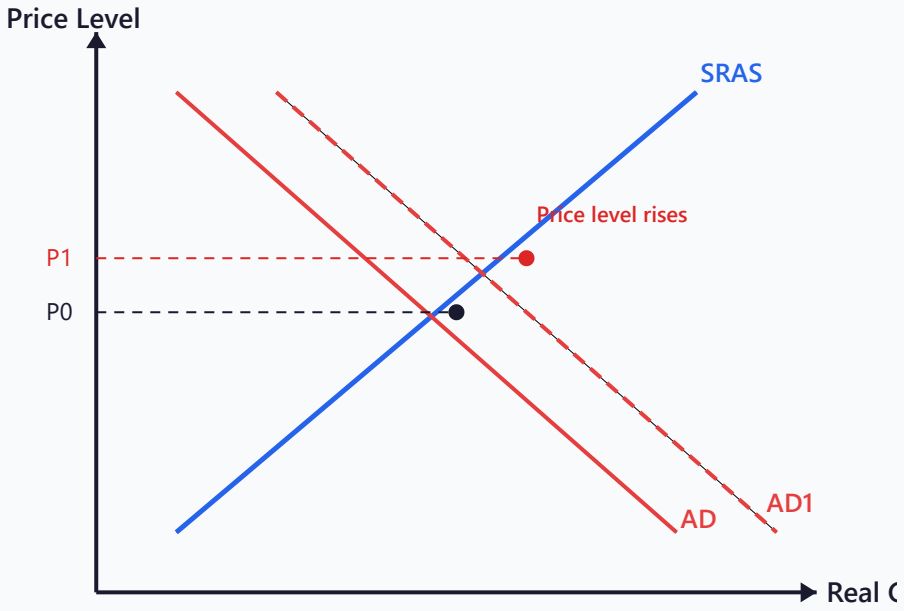

Figure 1: Demand-pull inflation — AD shifts right, price level rises from P0 to P1.

2.3 Consequences of Inflation

Effect	Explanation
Reduced purchasing power	Money buys less — real incomes fall if wages do not keep pace with inflation.
Menu costs	Firms must update price lists, catalogues, and vending machines more frequently.
Shoe-leather costs	People spend more time and effort managing their money to minimise the erosion of real value.
Redistribution of income	Borrowers benefit (repay loans in devalued money); savers and those on fixed incomes lose.

Reduced international competitiveness	Higher domestic prices make exports more expensive and imports cheaper, worsening the trade balance.
Uncertainty	High/volatile inflation makes it harder for firms to plan investment — may reduce long-run growth.
Fiscal drag	If tax thresholds are not adjusted for inflation, more people are dragged into higher tax brackets.

2.4 Consequences of Deflation

Deflation can be even more dangerous than inflation:

- **Delayed spending:** Consumers postpone purchases expecting further price falls — reduces AD further (deflationary spiral).
- **Rising real debt burden:** The real value of debt increases, causing defaults and financial instability.
- **Falling profits and wages:** Firms see revenue fall but may have fixed nominal costs — squeezing profits and leading to redundancies.
- **Monetary policy ineffectiveness:** Interest rates cannot go below zero (the zero lower bound), making it hard to stimulate the economy.

Case Study: UK Cost-of-Living Crisis 2022-23

UK CPI inflation peaked at 11.1% in October 2022, the highest in 41 years. The primary drivers were cost-push: energy prices surged following Russia's invasion of Ukraine (wholesale gas prices rose over 400%), global supply chain disruptions persisted post-COVID, food prices rose sharply due to higher fertiliser and transport costs, and a weakened pound made imports more expensive. Real wages fell for many months — average earnings growth of around 6% was far below inflation — causing the sharpest fall in living standards since records began. The Bank of England raised the base rate from 0.1% to 5.25% to combat inflation.

3. Unemployment

Unemployment: When people who are willing and able to work, and are actively seeking employment, cannot find a job. The UK uses two measures: the **Claimant Count** (those claiming unemployment-related benefits) and the **ILO/Labour Force Survey** measure (those without a job who have sought work in the last 4 weeks and are available to start within 2 weeks).

3.1 Measuring Unemployment

Measure	Method	Strengths	Weaknesses
Claimant Count	Number claiming JSA or UC (searching for work element)	Monthly, cheap, accurate count	Excludes those not eligible or not claiming; changes with benefit rules
ILO/LFS	Quarterly survey of 40,000 households	Internationally comparable; counts hidden unemployment	Sample size — subject to sampling error; published with a lag

3.2 Types and Causes of Unemployment

Cyclical (Demand-Deficient) Unemployment

Caused by a fall in aggregate demand during a recession or downturn. When AD falls, firms reduce output and lay off workers. This is the most significant type during recessions and is directly linked to the economic cycle.

Structural Unemployment

Caused by a long-term decline in certain industries due to changes in technology, international competition, or consumer demand. Workers' skills no longer match the jobs available — there is a **mismatch** between the skills of the unemployed and the requirements of available vacancies. Can be geographical (jobs in different regions) or occupational (different skills needed).

Frictional Unemployment

Short-term unemployment that occurs as people move between jobs. Inevitable in a dynamic economy — people leave one job and take time to find the next. Generally considered non-harmful and even

desirable (better job matching).

Seasonal Unemployment

Unemployment that occurs at certain times of year due to seasonal patterns in demand (e.g., tourism workers in winter, agricultural workers between harvests).

Real Wage (Classical) Unemployment

Occurs when wages are held above the market-clearing level (e.g., by minimum wage laws, trade union power), creating excess supply of labour. At the above-equilibrium wage, quantity of labour supplied exceeds quantity demanded.

3.3 Natural Rate of Unemployment (NRU)

> **Natural rate of unemployment:** The level of unemployment that exists when the economy is at its long-run equilibrium (full employment) — consisting of frictional, structural, and seasonal unemployment. At the NRU, there is no cyclical unemployment, and inflation is stable. Also known as the **NAIRU** (Non-Accelerating Inflation Rate of Unemployment).

3.4 Consequences of Unemployment

For Individuals	For the Economy	For the Government
Loss of income and lower living standards	Lost output — economy inside its PPF	Higher spending on benefits (JSA, UC)
De-skilling — skills atrophy over time	Hysteresis — long-term unemployment makes future employment harder	Lower tax revenue (income tax, VAT)
Mental health issues, stress, loss of self-esteem	Reduced consumer spending and business confidence	Higher budget deficit
Social problems — crime, family breakdown	Regional disparities widen	Increased demand for public services

Case Study: UK Post-Industrial Structural Unemployment

The decline of coal mining, steel production, and shipbuilding in the 1980s left communities in South Wales, Northern England, and Central Scotland with severe structural unemployment. Workers had skills specific to heavy industry that were not transferable to the growing service sector concentrated in the South East. Decades later, these areas still have higher unemployment rates and lower average incomes than the national average — a clear example of hysteresis and the geographical immobility of labour. Government responses have included Enterprise Zones, regional development agencies, and retraining programmes, with mixed success.

4. Balance of Payments

Balance of payments: A record of all financial transactions between residents of a country and the rest of the world over a period of time. It always balances overall (surpluses in one account are offset by deficits in another).

4.1 Structure

Account	What It Records	Key Components
Current Account	Trade in goods and services, plus income and transfers	Trade balance (goods), trade in services, primary income (investment income), secondary income (transfers, e.g., foreign aid, EU contributions)
Capital Account	Capital transfers and non-produced, non-financial assets	Debt forgiveness, sale of patents, EU structural funds (small account)
Financial Account	Investment flows and changes in reserves	Foreign Direct Investment (FDI), portfolio investment, reserve assets, other investment

$$\text{Current Account} + \text{Capital Account} + \text{Financial Account} = 0$$

4.2 Current Account Deficit

The UK has run a persistent current account deficit since the early 1980s (around 3-4% of GDP in recent years). This means the UK imports more goods and services than it exports, and pays out more in investment income and transfers than it receives.

Causes of the UK's Current Account Deficit

- **High consumer spending on imports:** UK consumers have a high marginal propensity to import — strong demand for foreign goods (cars, electronics, energy).
- **Decline of manufacturing:** De-industrialisation since the 1980s reduced the UK's goods export capacity.
- **Strong pound (historically):** Made UK exports expensive and imports cheap.
- **Low savings rate:** UK consumers save less and spend more, including on imports.
- **Primary income deficit:** Foreign ownership of UK assets means investment income flows out.

Consequences of a Persistent Deficit

- Must be financed by capital inflows (selling assets to foreigners, borrowing).
- Increases foreign ownership of domestic assets — income flows out in future.
- Could lead to currency depreciation if financed by short-term "hot money" that can withdraw suddenly.
- May not be a problem if deficit reflects high investment inflows (FDI creates jobs and growth).

Evaluation: How Significant Is a Current Account Deficit?

- A deficit financed by FDI may actually be beneficial — foreign firms create jobs and transfer technology.
- The US has run a deficit for decades without crisis — the dollar's reserve currency status helps.
- A deficit reflects high domestic demand — may indicate a strong economy.
- However, a deficit financed by short-term capital flows is vulnerable to sudden stops.
- Persistent deficits may indicate a structural competitiveness problem.

5. The Economic (Business) Cycle

Economic cycle: The regular fluctuations in real GDP around the long-run trend rate of growth. The economy moves through phases of boom, slowdown, recession, and recovery.

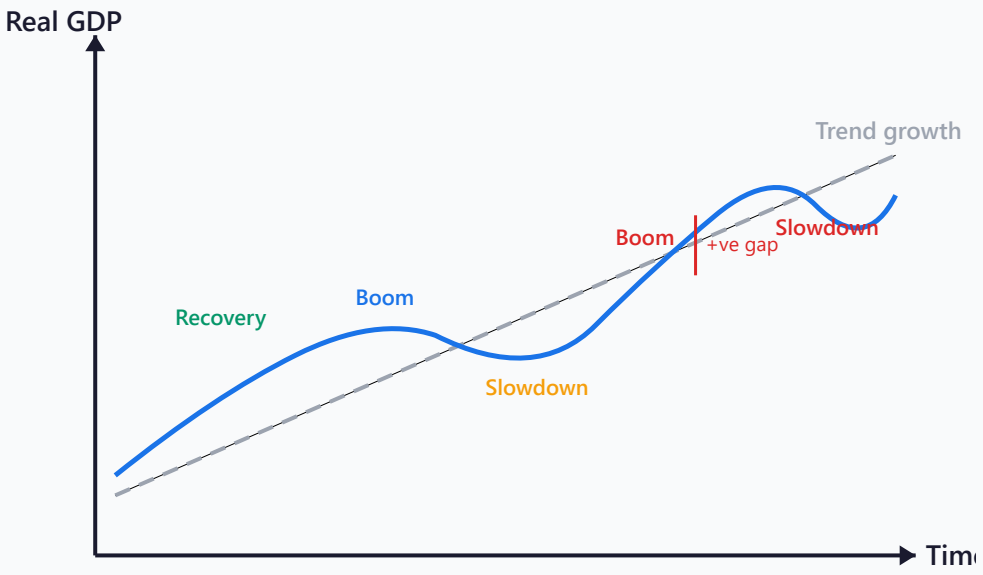

Figure 2: The economic cycle — real GDP fluctuates around the long-run trend rate of growth.

5.1 Phases of the Cycle

Phase	Characteristics
Boom	High GDP growth, low unemployment, rising wages, high consumer/business confidence, rising inflation, positive output gap. Risk of economy overheating.
Slowdown	Growth decelerates, confidence falls, some firms fail, unemployment begins rising.
Recession	Technically defined as two consecutive quarters of negative GDP growth. Rising unemployment, falling business investment, falling consumer spending, falling inflation or deflation, negative output gap.

Recovery	GDP begins to grow again, unemployment starts falling, confidence returns, investment picks up.

5.2 The Output Gap

Output gap: The difference between actual GDP and potential GDP (the maximum sustainable output of the economy).
Positive output gap: Actual GDP > potential GDP — economy overheating, inflationary pressures.
Negative output gap: Actual GDP < potential GDP — spare capacity, higher unemployment, deflationary pressures.

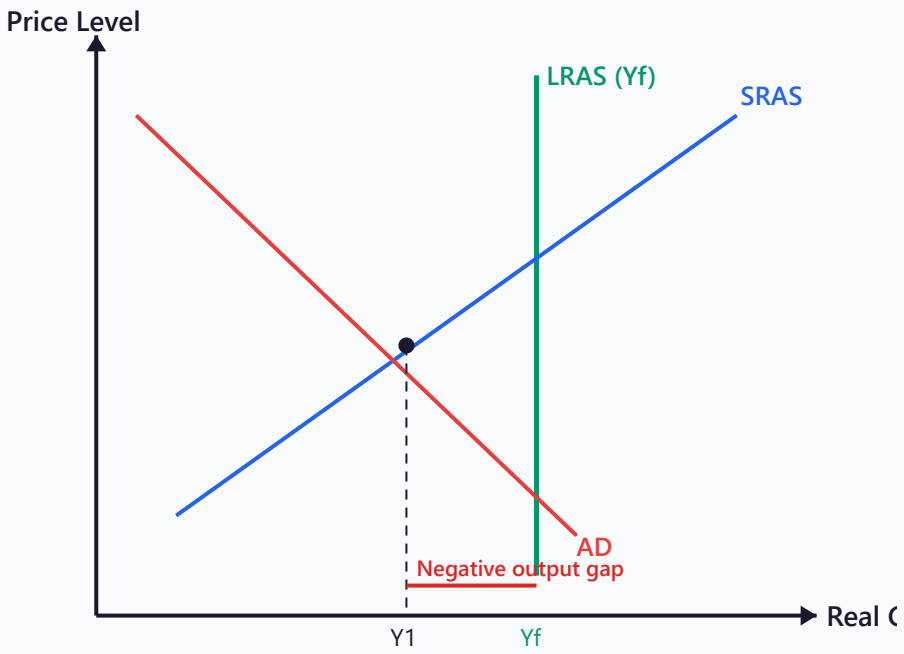

Figure 3: A negative output gap — actual output Y1 is below potential output Yf, indicating spare capacity and unemployment.

Case Study: The 2008-09 UK Recession

The global financial crisis triggered the UK's deepest recession since WWII. GDP fell by 6.3% from peak to trough. Unemployment rose from 5.2% to 8.1%. The banking system was on the verge of collapse — the government had to nationalise Northern Rock and inject 45.5 billion into RBS and

Lloyds. The Bank of England cut rates to 0.5% and introduced quantitative easing. The fiscal deficit reached over 10% of GDP. The recovery was slow — real GDP did not return to its pre-crisis peak until 2013, and the decade of low productivity growth that followed is called the "lost decade."

6. The Phillips Curve

Phillips Curve: An economic model showing the short-run inverse relationship between the rate of unemployment and the rate of inflation — as unemployment falls, inflation tends to rise, and vice versa. This implies a policy trade-off.

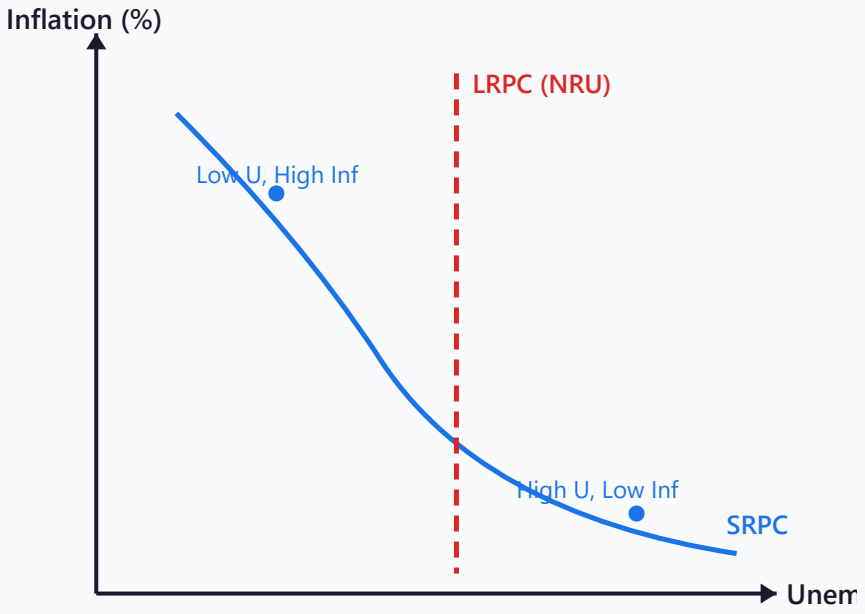

Figure 4: The short-run Phillips Curve (SRPC) shows the unemployment-inflation trade-off. The long-run Phillips Curve (LRPC) is vertical at the natural rate of unemployment.

6.1 Short-Run Phillips Curve

In the short run, there appears to be a trade-off: governments can reduce unemployment by accepting higher inflation (expansionary policy), or reduce inflation by accepting higher unemployment (contractionary policy). This was observed empirically by A.W. Phillips in 1958.

6.2 Long-Run Phillips Curve (Monetarist View)

Milton Friedman and Edmund Phelps argued that the trade-off is only temporary. In the long run, the Phillips Curve is **vertical** at the natural rate of unemployment. If the government tries to push unemployment below the NRU, inflation accelerates — and once expectations adjust, unemployment returns to the NRU but at a higher rate of inflation. This creates a **stagflation** risk.

6.3 Breakdown of the Phillips Curve

The relationship broke down in the 1970s when the UK experienced **stagflation** — high inflation AND high unemployment simultaneously, caused by supply-side shocks (oil crises of 1973 and 1979). This could not be explained by the original Phillips Curve and supported the monetarist/expectations-augmented view.

Evaluation: The Phillips Curve

- The short-run trade-off appears to hold in many periods but is unstable and shifts.
- Supply-side shocks can cause both unemployment and inflation to rise simultaneously (stagflation).
- Expectations play a crucial role — if people expect inflation, they demand higher wages, perpetuating it.
- The NRU itself is not fixed — supply-side policies can reduce it, improving the trade-off.
- In recent years, low unemployment has coexisted with low inflation in many countries — the curve may have flattened.

Exam Tip: When discussing macroeconomic objectives, always acknowledge potential conflicts — e.g., reducing unemployment may cause inflation (Phillips Curve), boosting growth may worsen the current account (sucking in imports). The best answers discuss the trade-offs and explain when they may or may not apply.

© RAG Learning · Not for redistribution